CROSSDESK · PITCH

Build tokenised funds & ETFs on Canton.

Atomic in-kind creation & redemption, and a credibly-neutral NAV struck by a decentralised K-of-N committee — the fund-issuance layer for tokenised assets. Settles cETH, CBTC and tokenised cash with no principal risk and no leaked orders.

Sebastian Borjas · July 2026 · Track: Investment Infrastructure — Funds & Governance · github.com/superbigroach/canton-dvp-settlement-desk

01 · THE PROBLEM

Tokenised funds are exploding — on broken plumbing.

$30B+
tokenised RWA on-chain — nearly 2× since Jan 2025[1]

$15B
tokenised US Treasuries, 76 products[2]

8 chains
Franklin's BENJI fund is fragmented across[3]

- **NAV is still computed off-chain, by hand.** Valuations in one system, accruals in another, bank recs in a third — weeks of reconciliation compressed into the last days of each cycle.[4]
- **There is no trustworthy on-chain NAV** to create, redeem, or mark against — so a fund still needs a central administrator you have to trust.
- **Creation/redemption isn't native.** The in-kind mechanism that makes ETFs efficient lives in TradFi back-offices, not on the chain the assets now sit on.

SAY

Thirty billion dollars of funds have moved on-chain — but the machinery that makes a fund a fund hasn't. The NAV is still struck in spreadsheets and reconciled for weeks; creation and redemption still happen in a back office. We tokenised the asset and kept the old plumbing.

Sources: see final page.

02 · WHY NOW

The rules just changed, and the assets are arriving.

- **July 29, 2025 — the SEC approved IN-KIND creation & redemption for spot bitcoin & ether ETFs.**[5] Crypto ETFs were cash-only before this. Now APs can create/redeem directly in BTC/ETH — but there's **no on-chain venue that does it natively.**
- **DTCC is beginning to tokenise DTC- & Fed-eligible securities on Canton** — it custodies **~$114T** (its total book); ran its **first live production trades in July 2026** (a pilot), with 50+ firms including BlackRock and JPMorgan.[6]
- **The underlyings are already here:** cETH (OnRails), CBTC (BitSafe), USDC (Circle) are live on Canton — the exact basket a tokenised fund is built from.

SAY

Two things just happened. The SEC blessed in-kind creation and redemption for crypto ETFs — the tax-efficient mechanism — in July 2025. And DTCC started putting real securities on Canton, the same month. The assets and the regulation arrived. The fund-issuance layer that connects them did not. That's the gap.

Sources: see final page.

03 · THE SOLUTION

An on-chain fund factory: create & redeem in-kind, atomically.

- **Define a basket** — e.g. a share = 0.10 cETH + 0.01 CBTC. It's an ordinary tokenised instrument that trades, prices, and settles like any other.
- **In-kind creation.** An authorised participant delivers the exact underlyings and receives freshly-minted shares — **in one atomic transaction**. Redemption is the reverse: burn shares, get the underlyings back.
- **No principal risk, no reconciliation.** Both sides move together or neither does; the ledger IS the record, so unit-supply and holdings can never drift.[4]
- **The same mechanism the SEC just approved**[5] — the tax-efficient in-kind swap — now native on the chain the assets live on.

SAY

CrossDesk makes the fund itself a smart contract. An authorised participant delivers the basket and gets shares — or hands back shares and gets the basket — atomically, in one transaction, with the ledger as the register. No custodian reconciliation, no principal risk. The in-kind mechanism the SEC just approved, running natively on Canton.

04 · THE HARD PART, SOLVED

A credibly-neutral NAV — struck by a committee, not an admin.

- **A NAV is only trusted if no single party can set it.** Today one administrator strikes it off-chain; you trust them.
- **CrossDesk strikes it with a K-of-N committee.** Members attest the price; the official NAV only exists once a **threshold of independent members have signed** — provable from the contract's own signatures.
- **The price is produced by a sealed call auction** — a dark uniform-price cross — so it reflects real supply/demand and nobody can trade ahead of it.
- **NAV = Σ(units × committee mark).** Fresh each session, on-ledger, no spreadsheet.

SAY

The number that matters most for a fund is its NAV — and today you trust one administrator to compute it honestly. We replace that with a decentralised committee: the official price only exists when a threshold of independent members has signed it, and it's produced by a sealed auction no one can front-run. A NAV you can verify, not one you have to trust.

05 · WHY CANTON

Only a private, atomic ledger can do this.

- **Atomic cross-asset DvP** — in-kind create/redeem moves N underlying legs and the share leg in one transaction. Zero principal risk, no escrow, no bridge.
- **Sub-transaction privacy** — two competing APs never see each other's baskets or inventory; the sealed auction and selective imbalance disclosure exist because of it.
- **The assets & the institutions are already here** — cETH, CBTC, USDC live; DTCC & Euroclear co-chair Canton's governance.[6]
- **Need-to-know audit** — a compliance observer sees the receipts and the NAV, never the underlying book.

SAY

This can't live on a transparent chain. In-kind creation needs atomic multi-leg settlement with no principal risk, and a fund's baskets can't be public to every rival AP. Canton gives you both — atomic DvP and real privacy — and it's already where the tokenised assets and the institutions are.

Sources: see final page.

06 · THE MARKET

The buyers and the assets are already on Canton.

$30B
tokenised RWA on-chain **today** — the live market, ~2× since Jan 2025[1]

$16T
projected tokenised-asset market by 2030 (BCG)[7]

$114T
DTCC's total custody book — the ceiling it has *begun* tokenising on Canton[6]

- **The live market is ~$30B today, growing fast**[1] — real funds (BlackRock BUIDL ~$2.5B, Franklin BENJI ~$828M[3]), each needing in-kind issuance and a NAV every day.
- **The ceiling is enormous.** DTCC (which custodies ~$114T[6]) ran its *first* tokenised-Treasury & equity production trades on Canton in July 2026 — a pilot, expanding, alongside BlackRock and JPMorgan.
- Every one of these funds needs **in-kind primary issuance and a trustworthy NAV** — and that primitive doesn't exist on-chain yet.

SAY

Be precise here: about thirty billion dollars of funds are on-chain today, and it's roughly doubled in eighteen months. The ceiling is far bigger — DTCC, which custodies over a hundred trillion, has started a tokenisation pilot on Canton. We're not betting on the ceiling. We're building the fund plumbing the thirty-billion-dollar live market already needs — and the assets to prove it on are live now.

Sources: see final page.

07 · WHO BUYS & HOW WE REACH THEM

Three buyers. One warm channel.

- **Tokenised-fund issuers & asset managers** → pay for **on-chain in-kind issuance + a committee NAV** (fund-infrastructure-as-a-service).
- **Authorised participants & market-makers** → pay a **per-create/redeem fee** for atomic, principal-risk-free primary-market access.
- **Custodians & venues** → pay a **SaaS licence** to run a compliant fund desk for members.
- **The channel is the ecosystem** — cETH (OnRails) and CBTC (BitSafe) issuers are *paying builders* to build on their tokens now. Land there, become the fund layer, expand to the DTCC/Kinexys tier.

SAY

We don't cold-email. The asset issuers are literally running bounties to get this built on their tokens. We land on the live assets, become the in-kind issuance and NAV layer, and let the funds built on us pull in the rest of the market.

08 · WHY US & THE VISION

Built, live, and by someone who traded the mechanism.

- **Already built, deployed & settling REAL transactions.** Daml contracts (18/18 tests green), a Spring service over Ledger API v2, a React desk — **live on the shared HackCanton devnet node**: an atomic DvP settled (10 cETH @ 3,200 USDC, receipt visible only to its 3 parties), the cETH+CBTC basket created & redeemed in-kind at an on-ledger NAV, and a 2-of-3 committee striking the official price. Public demo: **crossdesk-devnet-app.web.app**.
- **An unoccupied niche.** Canton has OTC desks and orderbooks — no on-chain fund-issuance + decentralised-NAV layer.
- **Founder credibility.** An ex-equities trader who ran institutional size at the open and close — the exact microstructure the NAV auction is built on.
- **The vision:** the **primary-market & NAV layer** for tokenised funds — start with a cETH/CBTC basket, expand to MMFs, Treasuries, and equities as they scale on Canton.

SAY

I traded this mechanism professionally, and I've already built it on Canton — it runs today. As trillions in funds tokenise, whoever owns in-kind issuance and the trusted NAV becomes the infrastructure everyone builds on. That's the position we're taking. Thank you.

SOURCES

References

1 Tokenised RWA ~$30B on-chain, ~2× since Jan 2025 — CryptoSlate / RWA.xyz, 2026. cryptoslate.com/tokenized-us-treasuries...

2 Tokenised US Treasuries $15.2B across 76 products, May 2026 — RWA market data. rwa.xyz

3 BlackRock BUIDL ~$2.1–2.5B; Franklin BENJI ~$828M across 8 chains (Stellar, Polygon, Arbitrum, Aptos, Avalanche, Base, Solana, Ethereum) — eco.com / InvestmentNews, 2026. investmentnews.com/alternatives/blackrock-franklin-templeton-deepen-push-into-tokenization

4 Manual NAV production & reconciliation across ledger/custodians/brokers; blockchain removes constant reconciliation — Chainlink, "Blockchain in Fund Administration"; getcaruso.com, "What is NAV in Fund Administration". chain.link/article/blockchain-in-fund-administration

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6 DTCC + Digital Asset tokenise DTC/Fed-eligible securities on Canton (announced Dec 2025); DTCC custodies $114T; live production trades July 2026; 50+ firms incl. BlackRock, JPMorgan; DTCC + Euroclear co-chair Canton governance — DTCC.com; CoinDesk; canton.network. dtcc.com/news/2025/december/17/dtcc-and-digital-asset-partner-to-tokenize-dtc-custodied-us-treasury-securities

7 Tokenised-asset market ~$16T by 2030 — Boston Consulting Group / ADDX. bcg.com

8 ETF in-kind creation/redemption & tax efficiency (no capital-gains event) — State Street; ETF.com; Britannica Money; Schwab Asset Management. ssga.com/us/en/intermediary/resources/education/how-etfs-are-created-and-redeemed

All figures as of the dates cited; hackathon build settles cETH & CBTC on Canton Devnet. Full technical writeup: SUBMISSION.md & README in the repo.